NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 06.05.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(A) Merger & Amalgamation/3/230/AMR/2022		230	Tagoor Laboratories Private Limited

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(A) Merger & Amalgamation/3/230/AMR/2022 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT HYDERABAD

CA (CAA) No.3 /230/AMR/2022

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation

BETWEEN:

1. M/s. Angels Pharma India Private Limited
   Registered office at Plot No.75, H.No.1-98/3,
   2nd Floor, Jubilee Enclave, Hitech City,
   Hyderabad-500084

   .... Transferor Company – 1

2. M/s. Tagoor Chemicals Private Limited,
   Plot No.99 &100, SV Cooperative Industrial Estate IDA,
   Jeedimetla, Hyderabad - 500055

   .... Transferor Company – 2

AND

M/s.Tagoor Laboratories Private Limited,
CIN U24100AP2009PTC109536
Having its registered office at
Sy No.29, Tupakulagudem Pochavaram Panchayat,
Tallapudi Mandal, West Godavari,
Andhra Pradesh – 534341.
Rep. by its Managing Director
Mr.Kasi Viswanadharaju Pericherla.

... Applicant/Transferee Company

Order Pronounced on: 06.05.2022

Coram:

Justice Telaprolu Rajani, Member Judicial.

For the Applicant :Mr. CS.M.Vijaya Kumar, PCS

Per: Justice Telaprolu Rajani, Member Judicial.

ORDER

1. The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Company inter alia seeking an order to dispense with convening the meeting of the Equity Shareholders and Secured Creditors of the Applicant Company/Transferee Company and to direct for a meeting of Unsecured Creditors of the Applicant/Transferee Company for consideration of the Scheme of Amalgamation ("Scheme" for short) between the Applicant Company and Transferor Companies, their respective shareholders and creditors as envisaged under the Scheme.

2. The Registered Office of the Applicant/Transferee Company is situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal. The Registered Offices of the Transferor Companies are situated in the State of Telangana.

3. Brief facts leading to the filing of present case are as follows:

a) M/s.Tagoor Laboratories Private Limited, Applicant/Transferee Company was incorporated as a Private Limited Company under the name and style of M/s.Venusub Laboratories Private Limited on 31.01.2009, subsequently the name was changed to M/s.Tagoor Laboratories Private Limited on 06.10.2019. The Authorised Share Capital as on 31.03.2021 was Rs.10,00,00,000/- divided into 1,00,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.9,99,50,000/- divided into 99,95,000 equity shares of Rs.10/- each. The main objects of the Company are to buy, sell, import, export, consign, store, clean, recondition and develop or otherwise deal in all types of intermediates, chemicals, instruments, equipments, apparatus and accessories and scientific and technical researches, experiments and tests of all kinds for and on behalf of Government, semi Government bodies and for others.

b) M/s. Angels Pharma India Private Limited, Transferor Company-1 was incorporated as a Private Limited Company on 18.03.2016. The Authorised Share Capital as on 31.03.2021 was Rs.27,00,00,000/- divided into 2,70,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.27,00,00,000/- divided into 2,70,00,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business as manufacturers,

dealers, distributors, buyers and sellers, resellers, retailers, importers, exporters and agents for all types of pharmaceuticals, bulk drugs basic drugs, pesticides, intermediates, tonics, etc., and manufacture, buy, sell, import, export, develop of all kinds of pharmulations, scientific equipment, software applications relating to medicine, etc.

c) M/s. Tagoor Chemicals Private Limited, Transferor Company-2 was incorporated as a Private Limited Company under the name and style of Vensar Laboratories Private Limited on 03.02.2009 and subsequently the name was changed to M/s.Tagoor Chemicals Private Limited. The Authorised Share Capital as on 30.09.2021 was Rs.12,00,00,000/- divided into 1,20,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.9,99,50,000/- divided into 99,95,000 equity shares of Rs.10/- each. The main objects of the Company are to buy, sell, import, export, consign, store, clean, recondition and develop or otherwise deal in all types of intermediates, chemicals, instruments, equipments, apparatus and accessories and to carry on scientific and technical researches, experiments and tests of all kinds for and on behalf of Government, semi Government bodies and for others.

d) According to the Applicant/Transferee Company, the amalgamation of the Transferor Companies with the

Transferee Company would inter alia help in achieving improved operational efficiency and optimum advantages and also to achieve greater efficiency and synergy in operations by combining the activities of the Transferor Companies with the Transferee Company. It will benefit from optimum utilization of manpower through improved organizational capacity and leadership, arising from the combination of people from the Transferor Companies and Transferee Company which have diverse skills, talent, management expertise, enlarged knowledge base and vat experience to compete successfully in an increased competitive industry and it will reduce fixed costs by removing duplicate departments, operations and lower the cost of the Company relative to the same revenue stream and shall increase the profit margins and strengthen the business of the Transferor Companies and the Transferee Company by pooling up the resources, business expertise, business process and assets for common purpose and hence, optimum utilization and it will result in better economic control, increased financial strength and flexibility and enhance the ability of the amalgamated entity to undertake large projects, thereby contributing to enhancement of future business potential; cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business process, productivity and improvements, improved procurement and the elimination of duplication and

rationalization of administrative expenses and the companies engaged in similar line of business in one entity, under a single centralized system of management being able to exercise greater control over operations of the Companies.

4. The Board of Directors of the Applicant /Transferee Company and Transferor Companies in their respective Board Meetings held on 15.11.2021 have approved the Scheme of Amalgamation with appointed date as 01.04.2021, subject to the approval of their shareholders and creditors.

5. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant/Transferee Company.

6. The Applicant/Transferee Company has filed certificate of the Auditor stating that as on 30.09.2021 there are Seven (7) Equity Shareholders, together holding 99,95,000 equity shares and they have given their consent in the form of affidavits agreeing to the proposed Scheme.

7. The Applicant/Transferee Company has filed certificate of the Auditor stating that as on 30.09.2021 there are Seven (7) Secured Creditors, having a debt of Rs.33,89,88,912.95/- and have given their consent in the form of affidavit agreeing to the proposed Scheme.

8. The Applicant/Transferee Company has filed certificate of the Auditor stating that as on 30.09.2021 there are Two Hundred and Seventy Seven (277) Unsecured Creditors, having a debt of Rs.50,50,74,045/-.

9. Heard the submissions made in this regard by Shri CS.M.Vijaya Kumar, Practicing Company Secretary appearing for the Applicant /Transferee Company and perused the documents filed.

10. It is noted that all the equity shareholders of the Applicant/Transferee Company have given consent affidavits agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Equity Shareholders of the Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

11. It is noted that the Secured Creditors of the Applicant/Transferee Company has given consent affidavit agreeing to the proposed Scheme of Amalgamation. Hence, the meeting of the Secured Creditors of the Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

12. With regard to the **Unsecured Creditors** of the Transferee Company, this Tribunal passed the following order:-

    a) A meeting of the **Unsecured Creditors** of the **Applicant/Transferee Company** shall be held on **18.06.2022 at 12.00 PM** in a virtual mode through Video Conferencing

(VC)/Other Audio-Visual Means (OAVM) for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

b) **Mr. R.Prabhakar, Advocate** (Mobile No. 9866676778) shall be the **Chairperson** of the meeting of the Unsecured Creditors and in respect of any adjournment thereof.

c) **Mr.Kadiyala Bhima Sankara Rao, FCS** (Mobile No.9849183568) is appointed as the **Scrutinizer** for the meeting of Unsecured Creditors and in respect of any adjournment thereof.

d) The remuneration of Chairman is fixed at Rs.1,00,000/- (Rupees One Lakh only) and remuneration of the scrutinizer is fixed at Rs.50,000/- (Rupees Fifty Thousand only) per meeting.

e) At least one month before the date of the aforesaid meetings, an advertisement about convening of the said meetings, indicating the day, date, place and time, as aforesaid, shall be published in The Times of India (in English) and in PrajaSakti (in Telugu). The publication shall indicate the time within which copies of scheme shall be made available to the concerned persons, free of charge from the registered office of the Transferee Company. The publication shall also indicate that the statement required to be furnished pursuant to Section

102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the Corporate Office of the Transferee Company or at the office of its PCS i.e., Mr. CS.M.Viajaya Kumar, PCS, Parameswara Apartments, #6-3-626, 5th Floor, 5-A, Anand Nagar, Khairatabad, Hyderabad – 500004, in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

f) The Chairman/Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman is free to avail the services of the Transferee Company or any agency for carrying out the aforesaid directions. The Chairman shall have all the powers under the Articles of Association of the Transferee Company and also under the Rules in relation to the conduct of the meeting, including for deciding any procedural questions that may arise at the meeting or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting by ballot/polling paper at the venue of the meeting.

g) The quorum for the meeting shall be as per Provisions of Section 103 of the Companies Act, 2013. The Quorum for the meetings of Unsecured Creditors shall be 15 (Fifteen).

h) Voting by proxy/authorised representatives is permitted provided that the proxy in the prescribed form/authorisation duly signed by the person entitled to attend and vote at the aforesaid meeting is filed with the Transferee Company at the registered office at Sy.No.29, Tupakulagudem Pochavaram Panchayat, Tallapudi Mandal, West Godavari, Andhra Pradesh – 534341, not later than 48 hours before the meetings vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

i) The Chairman to file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

j) It is further ordered that the Chairman shall report to this Tribunal on the result of the meeting in Form No. CAA-4, duly verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within seven working days.

k) In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, all the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the scheme of

Arrangement, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern region; (b) the Registrar of Companies, Andhra Pradesh (c) the Income Tax Authorities and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

13. With the above directions, the Company Application i.e. CA(A) Merger & Amalgamation No. 3/230/AMR/2022 is disposed of.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu